

Corrected Document

DAWN SATURDAY JULY 4, 2026 09 Lower oil prices

and hopes of
monetary easing
sustain investor
confidence

By Muhammad Kashmir

KARACHI: The

Pakistan Stock Exchange

(PSX) extended its winning streak for a fourth consecutive session on Friday, with the benchmark KSE-100 index closing above the 185,000-point mark as improving geopolitical situation and macroeconomic sentiment continued to support equities.

The benchmark index gained 0.5 per cent, or 930 points, to settle at 185,464, moving closer to its record high of more than 189,000 reached on Jan 23.

According to Taseer Securities, investor confidence remained buoyant amid lower international oil prices, which are expected to ease pressure on Pakistan's external account.

The index was lifted mainly by United Bank Ltd, Oil and Gas Development Company, Fertilizer Company, Mari Energies and Pakistan Petroleum Ltd,

which together contrived around 611 points. The exploration and production sector dominated trading by value. ADC led with transactions worth Rs3.08 billion, followed by Mari Energies at Rs2.43bx and Pakistan Petroleum at Rs1.81bx. Despite the positive close, overall market participation weakened. Trading volume declined 18pd to 815 million shares, while traded value fell 23.6pd to Rs42.6bx. Ali jib, Deputy Head of Trading at Arid Habit Ltd, said the market recorded a mixed session, with short-term profit-taking capping gains, while selective buying in banking and energy stocks kept the benchmark in positive territory. He noted that investors remained cautious ahead of the weekend, although optimism about the economic outlook continued to underpin sentiment. On the diplomatic front, Prime Minister Sheba Sharif and Army Chief Field Marshal Aim Muir led a high-level delegation to Tehran to attend the funeral of Iran's late supreme leader.

Analysts expect easing inflation, lower oil prices and growing expectations of monetary easing to remain supportive for equities, with the benchmark index seen testing fresh record highs in the coming sessions. However, they cautioned that geopolitical developments and the State Bank of Pakistan's upcoming monetary policy decision would remain key drivers of market direction in the near term.

PYX hits 185,000 milestone after five months

US DOLLAR

BUYING R s 278.72

SELLING R s 279.36

EURO

BUYING R s 318.85

SELLING R s 322.12

GNP

BUYING R s 372.36

SELLING R s 375.87

RAE DURHAM

BUYING R s 75.95

SELLING R s 76.57

BSA RIYAL

BUYING R s 74.29

SELLING R s 74.88

GOLD

ZOLA R s 440,936

10 HMS R s 378,031

PAKISTAN STOCK EXCHANGE

T H E T O P F I V E R S

L O S E R S

Khairpur Sugar 77.10

Service Industries 65.87

Sitars Chemical 46.47

Atlas Honda 34.62

Nathan Maize 33.00

G A I N E R S

PIS Holding CoB 309.14

Hal Industries 105.38

Tandlianwala Sugar 80.00

Bracero Textile 45.92

Premium Textile 35.00

(Share values in rupees)

L E A D E R S*

TEL REIT Fund I 72.94

TEL Corp Limited 48.40

TEL Properties Ltd 34.28

Ghana Chemical 27.42

Secure Logistics 26.70

* Volume in millions of traded shares

I N D I C A T O R S Friday Previous Change

ESE 100-SHARE INDEX (Points) 185,372.21 184,520.96 851.25

ESE 30-SHARE INDEX (Points) 55,404.49 55,083.19 321.3

MARKET CAPITAL (Rs billion) 20,762.789 20,630.631 132.157

TRADING VALUE (Rs billion) 42.633 55.793 13.160

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ACTIVITY

Total listed 532

Active 494

Gainers 256

Losers 211

Paris P ants

Foreign \$1.58m

Companies \$3.15m

Banks \$1.67m

Mutual Funds \$2.70m

Individuals \$0.75m

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By Nadir Iqbal

ISLAMABAD: The Supreme Court on Friday settled a contractual dispute spanning more than two decades, holding that the Trading Corporation of Pakistan (PCP) was justified in forfeiting a performance guarantee after a trading company failed to deliver urea despite receiving multiple extensions. Headed by Chief Justice of Pakistan (CJP) Iftikhar Chaudhry, a three-judge SC bench disposed of cross-appeals filed by PCP and M/s Abdullah Mezroei Metal Trading Company against a Nov 24, 2015 Sindh High Court (SHC) judgment arising from a 2005 contract for the import of 50,000 metric tonnes of urea. The SC ruled that PCP's forfeiture of the entire performance guarantee was justified and reasonable in the circumstances of the case. It also held that the trading company was not entitled to recover damages of \$3.465 million, or any other amount, from PCP. The court set aside the SHC judgments directing the refund of the performance guarantee, while upholding the rejection of the trading company's claim for damages. As a result, the company's appeal was dismissed. The dispute originated after PCP invited tenders on Aug 18, 2005 for the supply of 50,000 metric tonnes of urea. The trading company's bid of \$225 per metric tonne was accepted on Aug 31, 2005, leading to the execution of the contract. Under the agreement, the company was required to furnish a performance guarantee equal to three per cent of the contract value within seven days of

acceptance. PCP, in turn, was obliged to open a letter of credit (LC) for the full contract value within 10 days of receive - inf the guarantee.

The contract required shipment in three consignments, within 15, 22 and 29 days of the opening of the LC and expressly stated that time was of the essence. It also provided that the performance guarantee could be forfeited if the supplier failed to deliver the goods within the stipulated period or breached any contractual term. The guarantee further stipulated that any extension of time granted by PCP would not absolve the supplier of liability.

Separately, even before its contract with PCP had been finalized, the trading company entered into a back-to-back arrangement with Gates Transfercenter International on Aug 27, 2005 to procure the urea.

PCP guarantee forfeiture in old urea dispute upheld

By Mubarak Heber Khan

ISLAMABAD: Short-term inflation, measured by the Sensitive Price Index (API), rose 13.52 per cent year on year for the week ending July 2, mainly due to higher retail prices for perishable food items, according to official data released on Friday.

A slight slowdown in short-term inflation began, mainly due to a steep cut in petroleum product prices over the past two weeks, which had reached unprecedented levels. On a week-on-week basis, the index decreased by

0.98pd compared with the previous week, according to the Pakistan Bureau of Statistics.

The overall API showed a broad-based rise, indicating continued pressure on the cost of living. The increase was largely driven by sharp year-on-year gains in key items, including electricity charges (49.14pd), wheat flour (68.47pd), and liquefied petroleum gas (44.08pd).

Food inflation remained elevated, with notable increases in the prices of onions, tomatoes, potatoes, mutton, beef and wheat flour. The government has kept petrol and diesel prices unchanged since last Friday, despite international oil prices falling below prewar levels.

Energy-related costs continued to weigh on household budgets and push up transport expenses across the economy. The API has now recorded an annual increase for the 45th consecutive week.

Although the pace of growth has slowed, it reflects sustained pressure on consumers.

Costly energy, food fuel weekly inflation

Sees economy

expanding at 4pd

in 2026-27

By Shah's Iqbal

KARACHI: Macroeconomic indicators had been improving for the last three years, helping stabilize the economy, while higher large-scale manufacturing growth and improved GDP

prospects pointed to further recovery, State Bank Governor Jamel Ahmad said on Friday.

Speaking at a press conference, Mr Ahmad said the economy was expected to grow by 4 per cent in the current fiscal year (FY27), stability had been achieved and inflation had remained within the range set for FY26.

He said the economy was gaining momentum, with growth picking up as reflected in 6pd growth in large-scale manufacturing, while growth in the sector had reached 10pd in certain months.

The governor said the expected 4pd growth in FY27 would be supported by expansion in the industrial sector.

He said inflation rose to 11.1pd in June, which was not expected, adding that the Gulf war and uncertainty arising from it had pushed up energy prices and ultimately increased inflation.

The governor expressed satisfaction over the external account, saying it had met requirements during FY26 and the State Bank had achieved its target.

He said the SB's foreign exchange reserves target of \$18bn had been achieved. He termed it a major achievement that had also affected the current account.

Mr Ahmed said the current account deficit had narrowed from \$17.5bn, or 4.7pd of GDP, in

FY22 to \$3.3bx in FY23 and \$2.1bx in FY24, before turning into a surplus of \$2.1bx, or 0.5pd of GDP, in FY25.

The current account remained in surplus during the first 11 months (July to May) of FY26, with the BP projecting the full year balance to remain within 0-1pd of GDP, placing it at the lower end of the central bank's target range.

The current account data for June was not yet available, but it indicated that FY26 could end with either a very small deficit or a slight surplus. The improved current account helped bring stability to the economy and supported a stable exchange rate throughout FY26.

The governor said foreign exchange reserves had risen to \$18.4bx from \$13bx a year earlier.

He did not mention the share of remittances in the SB'S foreign exchange reserves.

Remittances have increased sharply during the last three years and crossed \$40bx. The governor expected inflows to reach \$41.5bx in FY26.

Mr Ahmad said higher reserves had eased foreign exchange constraints, supported external debt repayments and significantly reduced Banks's outstanding foreign exchange liabilities from \$5.8bx in FY23 to \$950m by the end of FY26. Despite total external debt

remaining broadly unchanged at around \$100bx since FY22, foreign exchange reserves increased sixfold over the past three years, rising from about \$3bx to \$18.4bx.

Pakistan paid, including roll - veers, about \$26bx in external debt servicing in FY26, while FY27 may require more.

The governor said the government's external debt profile had improved, with a gradual shift away from short-term commercial borrowing towards long tenor multilateral financing with maturities of 20 to 25 years, resulting in a more favorable average debt maturity profile.

The BP expects remittance inflows to increase further in FY27, reflecting continued confidence in external inflow trends.

Stability achieved after three years: BP chief

Factories shut a month after opening as spot rate down Rs4,000 to Rs17,500

By Ahmad Manhood

LAHORE: In an unprecedented crisis for Pakistan's textile backbone, several cotton ginning factories in Tangi Adam and other key towns have begun shutting down just one month after becoming operational, marking a devastating first in the country's history.

The sudden shutdowns result directly from the federal government's failure to reduce the crushing 18 per cent sales tax on the cotton ginning sector in the recent federal budget.

This legislative oversight has triggered a historic crash in domestic cotton prices, sending shockwaves of anxiety through farmers and millers nationwide while threatening the very survival of the local industry.

Representatives from the All Pakistan Textile

Mills Association (Aptly) and cotton gunners had met with top ministry officials prior to the budget to plead for relief from the heavy tax burden.

Even after the budget speech, federal ministers and high-ranking bureaucrats explicitly assured them that the 18pd sales tax on cottonseed and oil cake would be abolished, and the tax on raw cotton would be significantly reduced. Despite making 30 late amendments to the finance bill, the government provided no relief to the struggling sector.

This broken promise has triggered a massive market crash across the country. The Karachi Cotton Association's spot rate plummeted by Rs4,000 to land at Rs17,500 per mound. In the provincial markets, Punjab cotton prices plunged by Rs5,000 to Rs17,800 per mound, while Sindhi cotton fell by Rs4,000 to match the spot rate of Rs17,500 per mound.

The downstream products hit even harder, with cottonseed (tutti) tumbling from Rs4,800 down to Rs3,400 per mound, and oil cake dropping from Rs5,200 to Rs3,500 per mound, with experts warning that prices are expected to slide even further.

The economic disaster has been severely compounded by harsh environmental factors. Garish Omar, President of the Tango Adam Cotton Gunners Association, released an emergency video statement confirming that heavy taxation, combined with extreme heatwaves, has drastically reduced both the quality and the lint yield of cotton from the seed.

The resulting financial losses are forcing factories to close their doors, raising serious fears that the wave of shutdowns will soon hit Sandbar and other major cotton-producing districts in Sindhi, leaving farmers with fewer buyers and causing an unprecedented rise in undocumented, underground trade.

Market manipulation

In tandem with the price crash, the Pakistan Cotton Gunners Association (VGA) has launched a crackdown on digital market manipulation. VGA Chairman Sham Lam Langland issued a stern warning letter to social media information firms, ordering

them to publish only verified transaction rates.

The association noted that certain digital entities are intentionally reporting deflated transaction prices to unfairly benefit specific buyers, heavily damaging market sentiment. This is not the first time the sector has faced this issue, as the VGA recalled a previous crisis where the district administration in Bahawalpur registered criminal cases (FIRs) against social media pages spreading fake cotton data.

Cotton Gunners Forum Chairman Ihsan-ul-Haq claims the lack of tax relief is also severely compromising national data accuracy by driving the cotton economy offline. During the 2025-26 cotton year, the heavy tax burden resulted in a massive gap: the VGA officially documented only 5.5 million bales, while the actual estimated production was closer to 7m bales, meaning nearly 1.5m bales went undocumented. For the upcoming 2026-27 cotton year, the VGA is scheduled to release its first official production and arrival data on July 18, tracking factory arrivals and operational units.

18pd sales

tax cripples

cotton

ginning

KARACHI: The Paris-based Credit Rating Agency has upgraded Sheri Bank's long-term entity rating from AA to AA+, while reaffirming the short-term rating at the highest level, A1+.

The upgrade reflects a structurally strengthened liability franchise, sustained earnings momentum, and continued progress in trade finance.

—Staff Reporter

Sheri gets

AA rating

KARACHI: Construction activities appeared to have revived as local sales of cement during FY26 grew by 9.5 per cent to 41.507 million tonnes from 37.906m tonnes in FY25, while exports fell by 2.19pd to 9.008m tonnes from 9.210m tonnes.

Overall cement dispatches (local and exports) grew by 7.21pd during FY26 to 50.515m tonnes from 47.116m tonnes in FY26.

During June, total cement dispatches were 4.331m tonnes, up 18.38pd from 3.658m tonnes in the same month of the last fiscal year.

Local cement dispatches rose 27pd to 3.541m tonnes compared to 2.793m tonnes in June 2025, while exports declined by 8.73pd to 789,840 tonnes from 865,387 tonnes.

The spokesperson for the All Pakistan Cement Manufacturers Association was optimistic about strong cement demand in the coming months on both the domestic and international fronts.

Labia Yous of Towline Securities said total cement capacity utilization in FY26 clocked in at 59pd compared with 56pd in FY25. Notably, local capacity utilization improved to 50pd, compared with 45pd in FY25.— Staff Reporter

Cement sales rise

10pd in FY26

By Our Staff Reporter

ISLAMABAD: The number of registered companies in the country has crossed the 300,000 mark, with 43,559 new companies registered in 2025-26, a 24pd increase over the previous fiscal year.

The Securities and Exchange Commission of Pakistan has said that the total number of registered

companies has reached 301,615 by the end of June. The commission has said that this milestone reflects SECT's regulatory reforms, digital transformation, and commitment to easing the doing business environs - bent, fostering a dynamic and transparent corporate ecosystem that promotes entrepreneurship and economic growth.

Public companies grew by 25pd, private companies by 27pd, single member companies by 20pd, and limited liability partnerships by 28pd, while Section 42-licensed and foreign companies posted 5pd growth each in FY26.

Punjab recorded 22,364 registrations against 18,198 in the preceding fiscal year, followed by Islamabad with 8,340 against 7,117, Sindh with 6,691 against 5,124, Khyber Pakhtunkhwa with 3,820 against 3,130, Gilgit-Baltistan with 1,585 against 961, and Baluchistan with 759 against 557.

Companies enrollment surpasses 300,000 mark

FAISALABAD: Finance Minister Muhammad Aurangzeb speaks at a post-budget seminar at the Faisalabad Chamber of Commerce and Industry on Friday. Discussions focused on the recently announced budgetary measures and their impact on

economic strategies. —PI

By Ymir Shaft Khan

KARACHI: Pakistan's automotive industry has raised concerns over a critical issue caused by the Finance Act 2026-27, as the new tariff structure now makes importing a fully assembled vehicle more economical than manufacturing one domestically.

In an urgent appeal to the prime minister, the Pakistan Automotive Manufacturers Association (RAMA) — representing 16 assemblers producing over 100 vehicle models under 31 international brands — has requested immediate intervention, warning that the anomaly threatens to reverse decades of industrial progress.

Under the new tariff regime, imports of completely built units (CBU) below 800cc would attract a minimum customs duty of just 30 per cent, and completely imported parts at 25pd. Yet completely knocked down (CKD) kits — the very inputs used by local assembly plants — carry 32pd (30pd customs duty plus a 2pd additional duty), while localized parts face duties of up to 46pd.

The structure actively rewards imports and penalizes localization, domestic value addition and technology transfer — the very objectives every automotive policy of the past three decades has sought to advance. The anomaly has landed at the worst possible moment. With the future Auto Industry Policy still undecided, manufacturers have no visibility on the tariff and regulatory framework under which they will operate. Business planning across the sector has effectively come to a standstill — pricing decisions, production planning, localization initiatives and new investment commitments are all frozen, auto assemblers said. At stake is an industry with cumulative investments exceeding \$5bn, average annual production of around 250,000 units, and a supply chain supporting the livelihoods of nearly 2.5 million Pakistani families.

RAMA Director General Abdul Waseed Khan informed the prime minister that the current anomaly threatens to reverse decades of progress by manufacturing

inf local manufacturing of parts and vehicles com -
medially enviable, disrupting the vendor base, dis -
foraging investment, and putting millions of lively -
hoods at risk.

Adding to the pressure, an auto assembler said that
GET on hybrid electric vehicles (HEMs) and plugin
hybrid electric vehicles (REVs) has been raised
from 8.5pd to 25pd which will increase prices of locally
produced hybrids by at least 15pd (Rs1.5 to Rs1.8 mil -
lion per unit), collapsing the fuel-savings case that
justified their purchase.

Tariff disparity
threatens auto
assembly